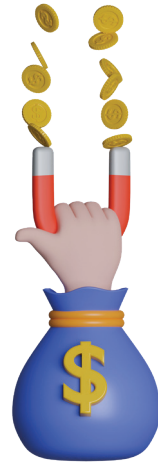


We see that the accruals for this company is a very small percentage of its total employee benefits. In cases, where the Accrual portion out of total employee benefits is high, we need to check whether the company is provisioning out or saving the resources to repay the liabilities in the future.

| How and why is GPM higher/lower than Competitors |     |     |     |     |     |     |
|--------------------------------------------------|-----|-----|-----|-----|-----|-----|
| <b>Employee Benefit Expenses</b>                 |     |     |     |     |     |     |
| Paid Yearly/ Total employee benefit              | 95% | 94% | 94% | 94% | 93% | 93% |
| Accruals/ Total employee benefit                 | 5%  | 6%  | 6%  | 6%  | 7%  | 7%  |
| Try calculating number of employees and avg      |     |     |     |     |     |     |

We also need to understand about, the different benefits paid yearly to employees other than salaries. Also, we need to know the type of accruals that the company uses. The company might be using ESOPS, contribution plans, etc.



Next, we need to understand the number of employees and the average increment in salaries of the personnel.



No company increases the number of employees if the company's business is not improving. The company recruits new employees only when the management is optimistic about the future in near term and medium term.